



United States
Attorney's Office
District of New Jersey



Pharmacy Agrees To Resolve False Claims Act Allegations For Billing For Drugs Not Dispensed

Tuesday, January 14, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

NEWARK, N.J. – Medsinbox Pharmacy LTC LLC d/b/a Farmacia San Antonio (“Medsinbox”), a pharmacy located in Camden, New Jersey, has agreed to pay \$625,000 to resolve allegations that it violated the False Claims Act by knowingly billing federal health care programs for medications that it never dispensed, Acting U.S. Attorney Vikas Khanna announced today.

According to the contentions of the United States in the settlement agreement:

The United States alleged that, from January 1, 2019, through January 24, 2022, Medsinbox caused the submission of claims for reimbursement to the Medicare Part D Program and the New Jersey Medicaid Program for drugs that were never dispensed to beneficiaries. The government contends that inventory records showed that Medsinbox did not purchase enough of these medications from wholesalers to fill all the prescriptions billed to these federal health care programs.

“Pharmacies play an important role in maintaining the safety and accuracy of prescribed medications, and allegedly billing for medications not actually dispensed undermines that role and defrauds our healthcare programs. The government will continue to pursue entities that engage in fraud and abuse at the taxpayers’ expense.”

Acting U.S. Attorney Vikas Khanna

“Health care providers defraud federal health care programs when they bill for goods or services that they did not provide,” said Principal Deputy Assistant Attorney General Brian M. Boynton, head of the

Justice Department’s Civil Division. “We will hold accountable those who improperly seek to profit from taxpayer funded programs.”

The resolution obtained in this matter was the result of a coordinated effort between the U.S. Attorney’s Office for the District of New Jersey and the Justice Department’s Civil Division’s Commercial Litigation Branch, Fraud Section.

The government is represented by Assistant U.S. Attorneys Robert Toll and Kruti Dharia of the Opioid Abuse Prevention and Enforcement Unit and Senior Trial Counsel Jennifer Cihon in the Civil Division’s Commercial Litigation Branch (Fraud Section).

The government’s pursuit of these matters illustrates the government’s emphasis on combating healthcare fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to the Department of Health and Human Services, at 1-800-HHS-TIPS (800-447-8477).

The claims resolved by the settlements are allegations only, and there has been no determination of liability.

[medsinbox.settlement_agreement.pdf](#)

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Topic

HEALTHCARE FRAUD

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[USAO - New Jersey](#)

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